

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST
REPUBLIC OF SRI LANKA

In the matter of an application for the mandates in the nature of writs of *Certiorari* and *Prohibition* under and in terms of Article 140 of the Constitution.

Court of Appeal Case No:
CA/WRT/0321/26

1. Kolega Engineering (Private) Limited,
Formerly known as KES Engineering
(Private) Limited, No.358/1,
Walgama, Malwana.
2. Aluthweediya Koralalage Ajith
Upananda Korale, No.358/1,
Walgama, Malwana.

PETITORS

Vs.

1. Bank of Ceylon,
No.01, BOC Square,
Bank of Ceylon Mawatha,
Colombo 01.
2. Kavinda De Zoysa,
Chairman - Bank of Ceylon, No.01,
BOC Square, Bank of Ceylon
Mawatha, Colombo 01.
3. M.K.C.Senanayake, Ex-Officio
Director, Bank of Ceylon, No.01,

BOC Square, Bank of Ceylon
Mawatha, Colombo 01.

4. Jehaan Ismail, Non-Executive
Director, Bank of Ceylon, No.01,
BOC Square, Bank of Ceylon
Mawatha, Colombo 01.
5. A.K.L.Illesinghe, Non-Executive
Director,
Bank of Ceylon, No.01, BOC Square,
Bank of Ceylon Mawatha, Colombo
01.
6. R.M.P.Rathnayake,
Director, Bank of Ceylon,
No.01, BOC Square,
Bank of Ceylon Mawatha,
Colombo 01.
7. J.D.N.Gunasekara,
Independent Non-Executive
Director, Bank of Ceylon,
No.01, BOC Square, Bank of Ceylon
Mawatha, Colombo 01.
8. Thulci Aluwihare,
Independent Non- Executive
Director, Bank of Ceylon,
No.01, BOC Square, Bank of Ceylon
Mawatha, Colombo 01.
9. Sharmini Ratwatte,

Independent Non - Executive
Director, Bank of Ceylon,
No.01, BOC Square, Bank of Ceylon
Mawatha, Colombo 01.

10. Dharshan Jayaratne,
Independent Non - Executive
Director,
Bank of Ceylon, No.01, BOC
Square, Bank of Ceylon Mawatha,
Colombo 01.

11. Sunimal Weerasooriya,
Independent Non - Executive
Director,
Bank of Ceylon, No.01, BOC
Square, Bank of Ceylon Mawatha,
Colombo 01.

12. Ananda Jayawardane,
Independent Non - Executive
Director,
Bank of Ceylon, No.01, BOC
Square,
Bank of Ceylon Mawatha, Colombo
01.

13. Janaki Senanayake Siriwardane,
Secretary to the Board/Secretary,
Bank of Ceylon,
No.01, BOC Square, Bank of Ceylon
Mawatha, Colombo 01.

14. M.H.T.Karunarathne,
No.50/3, Vihara Mawatha,
Kollonnawa.

RESPONDENTS

Before : **D. THOTAWATTA, J.**
K. M. S. DISSANAYAKE, J.

Counsel : Priyantha Alagiyawanna with Heshani
Gunaratne instructed by Purnima
Gnasekara for the Petitioners.
Chandimal Mendis with Ashiq Hassim,
Aneeraz Samahon and Basura
Rajapaksha for the 01st Respondent.
2nd to 14th Respondents are absent and
unrepresented.

Supported on : 02.06.2026

Written Submissions
of the Petitioner
tendered on : Not tendered.

Written Submissions
of the 1st Respondent
and the 2nd to 14th
Respondents
tendered on : Not tendered.

Decided on : 10.07.2026.
K. M. S. DISSANAYAKE, J.

The Petitioners have preferred to this Court the instant application under
Article 140 of the Constitution of the Democratic Socialist Republic of Sri

Lanka (hereinafter called and referred to as ‘the Constitution’), seeking *inter-alia*, a mandate in the nature of a writ of *certiorari* quashing the Resolution annexed to the petition furnished to this Court by them marked as **29(a)** and **29(e)** adopted by the Board of Directors of the Bank of Ceylon-1st Respondent (hereinafter called and referred to as ‘the 1st Respondent’) under section 21 of the Bank of Ceylon Ordinance as amended (hereinafter called and referred to as ‘the Ordinance’) and a writ of *prohibition* preventing the 1st Respondent and all those acting under it from selling the properties referred to in the aforesaid Resolution and morefully, described in the schedule to the aforesaid petition by way of Public auction.

The learned Counsel for the Petitioner made submissions in support of the application for notice as well as the application for interim relief sought in the prayer to the petition and the learned Counsel for the 1st Respondent also made submissions in opposition thereto, and the matter was then, fixed for order thereon, for today.

As is discernible from the averments in the petition of the Petitioners, averments in paragraphs 33 and 34 thereof, in particular, the principle contention advanced by the learned Counsel for the Petitioners in support of the application for notice as well as the application for interim relief sought in the prayer to the petition is that the so called Resolution adopted by the Board of Directors of the 1st Respondent under section 21 of the Ordinance to sell the properties described in the schedule thereto, by way of Public auction, is illegal and therefore, no force or avail in law in view of provisions of Act No. 1 of 2011 and Act No. 19 of 2011 which according to the Petitioners, imposes an explicit prohibition for the recovery of any loan in respect of which default is made where the principle amount borrowed of such loan is less than Rs. 5 Million.

The original section 5 of the Recovery of Loans by Banks (Special Provisions) Act, No. 4 of 1990 (hereinafter called and referred to as ‘the Act’) had been amended by the Recovery of Loans by Banks (Special Provisions) (Amendment) Act, Nos. 1 of 2011 and 19 of 2011 and those are the

enactments referred to in paragraph 33 of the petition of the Petitioners and the section 5A of the Act as amended enacts thus;

“5A. (1) No action shall be initiated in terms of section 3 of the principal enactment for the recovery of any loan in respect of which default is made, nor shall any steps be taken in terms of section 4 or section 5 of the aforesaid Act, where the principal amount borrowed of such loan is less than rupees five million :

Provided however, at the time of default when calculating the principal amount borrowed due and owing to the Bank on the loan granted to such defaulter, the interest accrued on such loan and any penalty imposed thereon, shall not be taken into consideration.

(2) The provisions of section 5A of this Act, shall also apply in relation to any bank established by an Incorporation Order made under the provisions of any written law for the time being in force, notwithstanding any provisions relating to the recovery of loans by any such bank.”.

A simple and plain reading of their own averments contained in the paragraph 5 of the petition of the Petitioners makes it manifest without any doubt that the principal amounts of such loans so borrowed by them and referred to in paragraph 5 thereof, from the 1st Respondent are more than rupees five million.

In the circumstances, the Board of Directors of the 1st Respondents had legal authority and or the power by virtue of section 21 of the Ordinance to be read with section 5A of the Act to initiate action under section 21 of the Ordinance for the recovery of the loans admittedly, granted by it to the Petitioners in respect of which default is admittedly, made by the Petitioners.

Hence, I would hold that the adoption of the Resolution by the Board of Directors of the 1st Respondent by virtue of the powers vested in it under and in terms of section 21 of the Ordinance to be read with section 5A of the Act

the Act for the recovery of the loans admittedly, granted by it to the Petitioners is *intra-vires* and therefore, entirely, legal and it is of force and avail of law.

I would therefore, hold that the application of the Petitioners is fundamentally, flawed in law and cannot therefore, sustain in law and as such it ought to be dismissed *in-limine*, on this ground alone.

There is a further ground which would in my opinion, tend to vitiate the application of the Petitioners and it may now, be examined.

When this matter came on before us on 02.06.2026, the learned Counsel for the Petitioners had informed Court that the Public auction that the Petitioners sought to prevent the 1st Respondent from holding by way of a mandate in the nature of a writ of *prohibition* had already, taken place and the properties mortgaged by the Petitioners to the 1st Respondent as security for the repayment of the said loans had thus, been already, sold at that Public auction, which by itself shows that the application of the Petitioners has now, become redundant and futile.

I would therefore, hold that the instant application ought to be dismissed on this ground too.

In the circumstances, I would hold that the instant application is not entitled to succeed in law as it is fundamentally, flawed as enumerated above.

In the result, I would refuse to issue notices of the application on the Respondents.

I would thus, dismiss the instant application with costs.

JUDGE OF THE COURT OF APPEAL

D. THOTAWATTA, J.

I agree.

JUDGE OF THE COURT OF APPEAL